

TAKE HOME ASSIGNMENT

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In-class Assignment: Performance Pay, Pay Structure and Salary Structure

Organisations chosen: *Tata Consultancy Services (TCS), ICICI Bank and Deloitte*

Introduction

Salary includes fixed pay, allowances, bonus, incentives, insurance, provident fund and other benefits. Therefore, two jobs with the same CTC can still give different monthly income. One may have more fixed salary, while another may have a bigger performance-based bonus.

This assignment studies performance pay, pay structure and salary structure. Performance pay is extra pay linked with results. Pay structure is the way a company sets salary levels for different jobs. Salary structure is the breakup shown in an offer letter or salary slip. I have used public reports and news reports. Exact salary bands and bonus percentages are usually not public, so I have not guessed them.

1. Tata Consultancy Services (TCS)

Performance pay

TCS says that variable pay is connected with individual performance, company performance and individual utilisation. Utilisation means how much time an employee works on a billable client project. So, variable pay can depend on the employee's work, business conditions and project allocation. TCS Annual Report 2025–26.

In July 2025, People Matters reported that more than 70% of TCS employees would get 100% variable pay for the first quarter of FY2026. Employees up to C2 grade were included in the full payout. For C3 and above, the payout could change with business-unit performance. This gave junior employees more certainty while linking senior pay more closely with business results. People Matters, 16 July 2025.

In May 2026, People Matters, based on a Mint report, said that some variable pay was moving from quarterly to annual payment. It also mentioned monthly performance pay linked with attendance and deployment. TCS reportedly linked the change with labour-code compliance and a more uniform salary structure. This is a reported change, not a rule proved for every employee. People Matters, 25 May 2026.

How the pay structure is developed

TCS gives annual increments, promotions and other salary revisions. Its annual report connects pay changes with market trends. So, salary is likely to depend on skills, role and business conditions, not only seniority. TCS does not publish complete salary ranges for every grade. Exact figures should not be shown without proof.

Usually, IT jobs are compared by skill, experience, responsibility and work difficulty. A software engineer, team leader and delivery manager should have different salary ranges. Companies also compare these jobs with similar market roles to retain employees and hire new talent. This is a general pay method, not TCS's private process.

Salary structure

The following table explains what an employee should check in a TCS offer letter or compensation document.

Part of salary	Why it is important
Fixed salary and allowances	This is the regular amount paid before deductions.
Variable pay	This shows how much pay depends on performance or company conditions.
Payment timing	It tells whether the incentive is paid monthly, quarterly or yearly.
Benefits and employer contribution	These may be part of CTC but may not come as monthly cash.

The time of payment matters. If a quarterly incentive is moved to an annual payment, an employee may get less money during each month even if the total yearly amount remains similar. This can affect personal expenses and savings plans.

2. ICICI Bank

Performance pay

ICICI Bank has a detailed public compensation policy because banking is closely regulated. Its FY2025–26 AGM notice says that executive pay includes fixed and variable pay. Variable pay can be cash, share-linked instruments or both. For whole-time directors, the bank considers financial results, risk management, compliance and stakeholder relationships. Their pay also needs RBI approval. ICICI Bank AGM Notice, FY2025–26.

Risk is very important in a bank. A loan can increase business today but become a loss later if it is not repaid. Therefore, bonus should not depend only on short-term sales or loan growth. For some senior and material risk-taking roles, the bank can delay variable pay. It also has malus and clawback provisions. Malus can reduce unpaid variable pay, while clawback can recover payment already made if policy conditions are met.

The policy says that risk, compliance and internal-audit employees should not be rewarded on the results of the business teams they check. This helps them report problems honestly. ICICI Bank Compensation Policy.

How the pay structure is developed

ICICI Bank’s policy balances market salary with internal fairness. It also considers business plans, staff need, revenue, cost-to-income ratio and capital adequacy. Capital adequacy means having enough capital to manage risk safely. The policy is reviewed every year. So, salary decisions are based on market pay, financial safety and RBI rules.

Similar jobs inside the bank should be paid fairly, but the bank must also offer enough to attract and retain employees. At higher levels, more pay may depend on long-term results and risk because senior decisions can affect the bank for years.

Salary structure

Salary category	Examples given in the policy
Fixed pay	Basic pay, allowances, benefits and retirement contribution
Variable pay	Cash bonus, share-linked instruments, or both
Long-term share-based pay	Employee stock options and employee stock units, based on eligibility

Share-linked pay is not only for top management. Employee stock units can be given to eligible employees outside some senior categories. The policy does not give salary ranges for every grade, so unofficial salary websites should not be treated as proof of internal pay bands.

3. Deloitte

Performance pay

Deloitte works in audit, consulting, tax, risk and advisory. Its public benefits page mentions performance rewards, insurance, leave and retirement benefits, and says benefits can vary by location. It does not publish one bonus percentage for all Deloitte employees or a bonus formula for each level. [Deloitte Benefits and Rewards](#).

Many salary websites show estimates. They can give a general idea but are not official company bands. They may use different roles, cities, experience levels and company entities. So, it is not correct to say that every consultant or manager gets the same bonus, equity or profit share.

The employing organisation should be checked. Deloitte US–India Offices (USI) is part of Deloitte US. Deloitte and USI may have offices in India, but they are not automatically the same employer for salary comparison. [About Deloitte USI](#).

How the pay structure is developed

Public sources do not give Deloitte’s full pay-band method. A practical structure would compare jobs in the same service line, city and company entity. It should consider knowledge, experience, client work, team handling and responsibility. A person managing many client projects should be paid differently from a person doing assigned tasks.

Promotion to manager does not automatically mean equity or profit sharing. These benefits depend on the contract, firm policy and role. No public Deloitte policy was found saying that all managers receive them.

Salary structure

What to check in an offer letter	Why it should be checked
Company entity, service line and role	This helps compare the correct jobs.
Fixed annual salary	This is the main guaranteed part of the package.
Bonus details	It should show eligibility, target and conditions.
Benefits	Insurance, leave and other benefits can add value.
Long-term award	Any equity or similar award should be written clearly.

Students should compare offer letters, official job descriptions and stated benefits instead of using unverified salary numbers.

4. Comparison and conclusion

The three companies use different compensation systems. TCS uses fixed salary plus variable pay linked with performance, business results and utilisation. ICICI Bank gives more importance to risk because banking decisions can affect customers and the financial system. Deloitte gives only a broad public view of rewards, so exact internal salary levels cannot be confirmed.

Question	Why it matters
Can employees understand how the bonus is calculated?	Clear rules reduce confusion and complaints.
Can the employee influence the result?	Pay should not depend only on factors outside the employee's control.
Are quality and risk checked?	High sales or output should not be rewarded if it creates future problems.
Is the payment date clear?	Employees need to plan their monthly expenses.

In my view, a good pay structure should be fair, simple and suitable for the business. Fixed pay gives security. Variable pay can motivate better performance, but conditions must be clear. A company should explain what is guaranteed, what is performance-based and when payment will be made. It should review the system regularly. When details are not public, students should avoid assumptions and use reliable sources. This makes the assignment more honest, clear and useful for students and teachers.

Sources

[TCS Annual Report 2025 to 26](#)

[People Matters TCS variable pay report July 2025](#)

[People Matters TCS pay structure report May 2026](#)

[ICICI Bank AGM Notice FY2025 to 26](#)

[ICICI Bank Compensation Policy](#)

[Deloitte Benefits and Rewards](#)

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